

pre-set bargain price within a chat box. The buyer can then select and quote a favourable price, which he or she thinks is fair for the product. Furthermore, its chat and bargaining feature allows buyer-seller negotiations in their respective native languages as the translation is done on a real-time basis.

Kiko, on the other hand, has built its platform on the live commerce concept, wherein buyers and sellers can engage in a live video interaction to know more about the product, its price and of course, haggle. “We have created a one-on-one live selling platform. The live commerce element is the biggest chunk of social commerce in China. This is the fastest growing segment and eventually everyone will try to get into this space, though it is not a readily available technology that one can plug and play. Live commerce is pretty much the future of social commerce,” says Chawla.

Earlier this year, even Coutlook launched a video commerce feature that enables sellers to use short online videos and engage with potential buyers. This assumes significance as a recent report by RedSeer Consulting

forecasted that the GMV of live commerce through short videos is expected to reach \$5 billion in India by 2025, which is quite a lot.

Incidentally, the growing importance of social commerce can be gauged from the fact that even the traditional and much-larger e-commerce players, like Amazon, Flipkart and Myntra, are looking at the video commerce space quite seriously.

THE TRUST FACTOR

Although social commerce is growing by leaps and bounds, it has its own set of challenges and the biggest of the lot is trust.

Social commerce is all about selling non-branded and non-MRP products. Every product could be indigenous in its own way. For Kesamai, it is all about selling indigenous pickles of Nagaland. For others, it could be artwork or clothes or even spices or other condiments and the buyers may have no clue of what they are buying till the time they get the product.

Furthermore, since social commerce is all about dealing with unknown sellers, there is an added element of doubt with respect to payments, refunds and a redressal

mechanism, among other things.

“Trust is the biggest factor when it comes to the growth of the social commerce segment. We are still at an early stage, when compared to the highly evolved markets like China or the US,” says Thind, even as he forecasts that social commerce has got huge potential in India.

Sanjay Mehta, Founder & Partner of 100X.VC, a venture capital fund that invests in early-stage start-ups, believes that the payment process is also a challenge, especially for social commerce platforms, as buyers would prefer cash on delivery given the general profile of the sellers, who would in turn want upfront payment for transactions.

Payment is indeed a challenge, as the shopping experience could be very unlike what the majority is used to when buying a branded product. Brands have put in place grievance redressal mechanisms, plus there is always the added comfort of buying from a well-known brand.

So, while there is an explosion of sorts in the social commerce segment, both platforms and sellers are trying different models to gain the trust and confidence of the huge community of buyers that has started looking beyond the tried and tested brands.

Interestingly, Thind believes that features like a video describing the store and product could go a long way in enhancing the trust factor as “offline commerce is all about trust and rapport between the buyer and the seller”.

THE INVESTMENT LENS

Social commerce has not only given a fillip to small sellers’ businesses but also emerged as a new investment destination for start-up investors, who are always on the lookout for the next big investment wave.

“From an investment point of view, social commerce holds great promise,” says Manu Rikhye, Partner & MD, growX Ventures, an

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